(3) **Error of casting, or Error of Carry-forward**: The error arises when a mistake is committed in carrying forward a total of one page on the next page. This error affects the Trial Balace.

Example – 1: Purchases Book is totalled as ₹10,000 instead of ₹1,000.

Example – 2: Total of Purchases Book is carried forward as ₹1,000 instead of ₹100.

2. ERROR OF DUPLICATION

Errors of duplication arise when an entry in a book of original entry has been made twice and has also been posted twice. These errors do not affect the agreement of trial balance, hence it can't located easily.

Example: Amount paid to Anbu, a creditor on 1.10.2016 for ₹75,000 wrongly accounted twice to Anbu's account.

3. ERROR OF COMPENSATION (or) COMPENSATING ERRORS

When one error on debit side is compensated by another entry on credit side to the same extent is called as Compensating Error. They are also called as Off-setting Errors. These errors do not affect the agreement of trial balance and hence it cannot be located.

Example: A's account which was to be debited for ₹5,000 was credited as ₹5,000 and similarly B's account which was to be credited for ₹5,000 was debited for ₹5,000.

4. ERROR OF PRINCIPLE

An error of principle occurs when the generally accepted principles of accounting are not followed while recording the transactions in the books of account. These errors may be due to lack of knowledge on accounting principles and concepts. Errors of principle do not affect the trial balance and hence it is very difficult for an auditor to locate such type of errors.

Example – 1: Repairs to Office Building for ₹32,000, instead of debiting to repairs account is wrongly debited to building account.

Example – 2: Freight charges of ₹3,000 paid for a new machinery, instead of debiting to Machinery account wrongly debited to Freight account.

STUDENTS ACTIVITY

Collect novelist experiences about errors come across by a nearby Auditor.

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